

Analytics Case Study - Wahoo Inc. by Luke Liska and Brandon Banning

*Company information is adapted from (<https://en.wikipedia.org/wiki/Dell>) and needed when answering the questions.

Wahoo* is an American multinational computer technology company based in Tampa, Florida, United States, that develops, sells, repairs, and supports computers and related products and services. Named after its founder, Michael Wahoo, the company is one of the largest technological corporations in the world, employing more than 103,300 people in the U.S. and around the world.

Wahoo sells personal computers (PCs), servers, data storage devices, network switches, software, computer peripherals, HDTVs, cameras, printers, MP3 players, and electronics built by other manufacturers. The company is well known for its innovations in supply chain management and electronic commerce, particularly its direct-sales model and its "build-to-order" or "configure to order" approach to manufacturing—delivering individual PCs configured to customer specifications. Wahoo was a pure hardware vendor for much of its existence, but with the acquisition in 2009 of Mackerel Systems, Wahoo entered the market for IT services. The company has since made additional acquisitions in storage and networking systems, with the aim of expanding their portfolio from offering computers only to delivering complete solutions for enterprise customers.

Wahoo was listed at number 51 in the Fortune 500 list, until 2014. After going private in 2013, the newly confidential nature of its financial information prevents the company from being ranked by Fortune. In 2015, it was the third largest PC vendor in the world after Lenovo and HP. Wahoo is currently the #1 shipper of PC monitors in the world.

In 2018, Wahoo acquired the enterprise technology firm Marlin Corporation; following the completion of the purchase, Wahoo and Marlin became divisions of Wahoo Technologies.

It is January, 2019, and you have been recently hired by Wahoo as a consultant to evaluate their digital marketing strategy. During your initial meeting January 5th, you wrote down 10 major observations that you wanted to look into deeper. For each observation, please indicate which direction you will take and why, paying close attention to items you learned while listening to a guest speaker in your Digital Marketing class. Your notes are listed below, followed by italicized questions to be answered (by you). You will not receive credit if you do not explain why.

1. Wahoo CEO is interested in studying the impact that hurricanes have on their online web traffic. The CEO recommended running an A/B test on traffic levels during a hurricane in the next month to determine whether or not they need to make a custom online interface to improve traffic during hurricane season. *Do you recommend following the CEO's recommendation? Please explain why or why not.*

2. The Director of Marketing gave you a study run for 24 hours on Black Friday with a sample size of 10,000 unique visitors to the website. Based on this study, he

recommends changing the homepage for the rest of the year to focus on products that are on sale as opposed to focusing on the new innovative products Wahoo sells. Do you agree with his conclusion? Please explain why or why not.

3. Wahoo Inc. is currently running an ad campaign on social media to introduce a new product using a last interaction attribution model. The Wahoo Inc. social media intern recommends switching to use a first interaction attribution model. Do you recommend following the Intern's recommendation? Please explain why or why not.
4. The in-house statistician mentioned that when it is sunny outside, online sales decrease. He recommends running an advertisement on a movie streaming service (such as Hulu) during sunny weather to increase traffic to the website during these low traffic times. Do you recommend following the statistician's recommendation? Please explain why or why not.
5. The Wahoo Inc. CMO has agreed to increase the advertising budget by 10% the following quarter. Currently, their advertising budget is \$1,200,000. She is looking for your guidance as to which advertising campaign to focus on. Based on the data chart below, which advertising platform would you recommend? Please explain why or why not.

	<u>Estimated Clicks Lost</u>	<u>Conversion Rate</u>	<u>Average Order Value (Revenue)</u>	<u>Average CPC (Cost Per Click)</u>
<u>Campaign 1</u>	<u>120,000</u>	<u>1.20%</u>	<u>\$600</u>	<u>\$3.50</u>
<u>Campaign 2</u>	<u>100,000</u>	<u>0.50%</u>	<u>\$800</u>	<u>\$4.25</u>

Hint: You will need to calculate: Conversions Lost, Revenue Lost, Estimated Cost, and Return on Ad Spend.

BONUS (10pts): Is their estimated increase in advertising budget at an optimal level (i.e. should it be increased or decreased)? Please explain why or why not.